

24STCV15485 24STCV15485

County: los-angeles

Division: Civil Law and Motion

Department: 11

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Case Number: 24STCV15485 Hearing Date: September 1, 2026 Dept: 11

Gonzalez (24STCV15485)

Tentative

Ruling Re: Motion to Compel Arbitration

Date: 9/1/26

Time: 11:00 am

Moving Party: Applied

Staff, LLC ("Applied Staff")

Joinder: CR&R Inc.

("CR&R")

Opposing Party: Humberto Gonzalez ("Plaintiff")

Department: 11

Judge: Bruce G.

Iwasaki

TENTATIVE RULING

Applied Staff's motion to compel
arbitration is denied.

CR&R's joinder to the motion to compel arbitration is denied.

BACKGROUND

This is a putative class action. Applied Staff is a staffing company. In October 2021, Applied Staff assigned Plaintiff to work for CR&R.

Plaintiff alleges that Applied Staff and CR&R subjected him and other current and former non-exempt employees to numerous wage-and-hour violations.

Here, Applied Staff moves to compel arbitration under Applied Staff's arbitration agreement.

CR&R joins the motion to compel.

DISCUSSION

Plaintiff opposes the motion to compel on three grounds: (1) waiver; (2) the motion is brought pursuant to the wrong arbitration agreement; and (3) Applied Staff's agreement is unconscionable.

The Court finds grounds (1) and (2) dispositive.

For ground (1) – waiver, Plaintiff contends Applied Staff waived the right to compel arbitration by failing to allege arbitration as an affirmative defense in its answer and by litigating the case for 14 months prior to filing the motion to compel. (See Opposition, pp. 9-12.)

Applied Staff insists that it has not propounded discovery and that merely responding to Plaintiff's discovery requests does not amount to waiver. (See Reply, pp. 3-4 [distinguishing *Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562 and arguing that Plaintiff delayed in prosecuting the case].)

The Court turns to the law.

“The right to compel arbitration . . . is subject to waiver. Such waiver may be express or implied from the parties’ conduct.” (Knight, Cal. Practice Guide: Alternative Dispute Resolution (The Rutter Group 2026) ¶ 5:167.)

“Waiver usually ‘denotes the voluntary relinquishment of a known right[.]’” yet “it can also refer to the loss of a right as a result of a party’s failure to perform an act it is required to perform, regardless of the party’s intent to relinquish the right.” (Id. at ¶ 5:167.1.)

In determining a waiver, several factors may be considered:

(1) the party’s actions are inconsistent with the right to arbitrate; (2) “the litigation machinery has been substantially invoked” and the parties “were well into preparation of a lawsuit” before the party notified the opposing party of an intent to arbitrate; (3) a party either requested arbitration enforcement close to the trial date or delayed for a long period before seeking a stay; (4) a defendant seeking arbitration filed a counterclaim without asking for a stay of the proceedings; and (5) “important intervening steps [e.g., taking advantage of judicial discovery procedures not available in arbitration] had taken place.”

(Id. at ¶ 5:168 [quoting Quach].)

Additionally, “[w]here no deadline for demanding arbitration is specified . . . , a reasonable time is allowed.” (Id. at ¶ 5:174, emphasis in original.) “A party who does not demand arbitration within a reasonable time is deemed to have waived the right to arbitration.” (Ibid.)

Given these rules, the Court finds the waiver factors established because:

* Applied Staff answered in May 2025;

* the answer does not mention arbitration (see Applied Staff’s Answer, pp. 1-7);

* Applied Staff participated in discovery before filing the motion to compel (see Opposition, pp. 9-10; see also 7/20/26 Joint Report Re: Informal Discovery Conference, pp. 2-3);

* Applied Staff did not file the motion to compel until July 7, 2026;

* defense counsel's late discovery of the arbitration agreement is Applied Staff's own fault, especially since the agreement was in Applied Staff's possession (see Larsen Decl., ¶ 3 [declaring that he "bec[a]me aware of the" agreement, and produced a copy to Plaintiff's counsel, "in connection with document production in response to Plaintiff's discovery requests"]; see also Ramirez Decl., ¶¶ 3-6 [declaring that she is "qualified to authenticate true and correct copies of Defendant's business records, including portions of" Plaintiff's personnel file, and insinuating that arbitration agreement came from Plaintiff's file]; Opposition, pp. 11-12 [arguing that "Applied Staff is charged with knowledge of its own business records" and that the facts evince actual or constructive notice]); and

* Applied Staff fails to show that Plaintiff's purported delay in prosecution prevented Applied Staff from finding the arbitration agreement in its files – and moving to compel arbitration – sooner.

Similar analysis applies to CR&R. Although its answer asserts an arbitration-based affirmative defense (see CR&R's Answer, p. 4), CR&R waited more than a year to seek to compel arbitration against Plaintiff. Moreover, CR&R's declarants fail to demonstrate that CR&R could not have discovered Applied Staff's agreement earlier (the decision to plead an arbitration-based affirmative defense tends to suggest that CR&R had reason to believe that Applied Staff had/has an arbitration agreement that CR&R would be able to invoke). (See Kalusa Decl., ¶ 6; see also Bell Decl., ¶ 2.) The Court finds CR&R's delay inconsistent with the right to compel arbitration.

Which bring the Court to ground (2) – wrong arbitration agreement. Applied Staff moves under an English-version arbitration agreement signed in October

2021 (see Ramirez Decl., Ex. A) but admits that Plaintiff signed a Spanish-version arbitration agreement in September 2022. (See id. at Ex. B.) Presumably, the Spanish version supersedes the English version. To be sure, Applied Staff fails to prove either that the English version is the operative version or that the English version and the Spanish have equivalent terms. (Cf. Opposition, pp. 12-13 [pointing out potential differences between the English version and the Spanish version]; see also Reply, p. 7 [seemingly conceding that the versions differ].) Indeed, Applied Staff did not submit a certified translation from a certified translator. (See Reply, p. 7 n.4 [acknowledging that Applied Staff did not provide a certified translation by the reply's due date].) These facts render Applied Staff's burden to show an agreement to arbitrate unsatisfied.

CR&R's burden is unsatisfied for the same reason.

Therefore, the motion to compel and the joinder are denied.